

## DR REDDY'S LABORATORIES

The firm allows individual and institutional cultures to flower. It ships cats for executives relocating to India and permits long siesta lunches in Mexico.



CORBIS



THE INDIAN WAY: DRL'S Betapharm employees

spare time has actually become serious business. India Inc has been building its portfolio of acquisitions—Tata-Jaguar and Land Rover deal in the UK, Sona Okegawa's buyout of Thyssen-Krupp in Germany, Wipro's purchase of Unza in Singapore, Larsen and Toubro's acquisition of switchgear businesses of Malaysia's Tamco and Jindal Steel and Power's takeover of an iron ore mine in Bolivia, to name just a few. Management experts suggest Indian companies should set an agenda of merging human resources by resolving cultural issues of the people in both the acquiring and the acquired companies.

Confidence building measures are an integral part of integration. Employees of the acquired company are usually gripped by low morale, restiveness, fear of job cuts, insecurity about the takeover and its im-

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ADIL MALIA, PRESIDENT-HR, ESSAR GROUP

nology and brands, and more moolah. Today, it is equally, if not more importantly, about acquiring people who work for the company—labour unions, staff, officials and executives. For instance, when Aditya Birla Group acquired Novellis in Canada, it got 12,800 people of different nationalities scaling five continents. For Tatas, the iconic Jaguar Land Rover brands came along with 16,000 people. And human beings can't just be taken over with a brazen "Good morning, you are sold". It is not easy to make the two parties bond when, as Aditya Birla Group's HR head Santrupty Mishra says, people can't pronounce Aditya Birla and Indians know neither Spanish nor German.

The integration process is not without its share of humour. Globe-trotting CEOs can often be heard joking about the "morning after" syndrome after an acquisition. Jokes apart, with more and more companies on the prowl, what was earlier envisaged as a filler for

plications, says, Adil Malia, president HR, Essar Group. "When a company is taken over, there is a sense of the vanquished and the victor. It is only fair to put in place processes to make people feel they are on an equal footing. Otherwise acquisitions cannot succeed," says Malia, who has led Essar's acquisition of US-based Global Vantage and Minnesota Steel and Canada-based Algoma Steel. Also, employees of acquired units are terrified of being ordered around by a new boss and changes in management and in their designations. Ganesh Shermon, head, human capital advisory, KPMG, says acquisitions can even fail over two diverse sets of employees in an acquired entity disagreeing over something as mundane as the practice of a female employee garlanding a foreigner company head. "If it goes unexplained, such a trivial issue may kick up a storm," he says.

No surprise then that the likes of